

MasterCard Inc

Resilience Shines Through the Noise, PO to \$735, Reiterate Buy

Reiterate Rating: BUY | PO: 735.00 USD | Price: 577.35 USD

Strong results through calendar noise

Mastercard's 2Q print and call leave us confident the franchise sits among the top tier of payments compounders, as a clean beat and a tighter FY26 band speak to how steady the earnings engine is. The debate similar to Visa, is now really about perception: the lighter July month to date figures and the cooler cross border pace strike us as a function of the calendar (a June Prime Day pull forward and stiffer prior year hurdles) instead of any true fade in spending. That read got backing from management, who pointed to resilient activity across income cohorts and a Middle East setup that has settled versus earlier worries. Maintain Buy and raise PO to \$735 on higher estimates.

Takeaways from the calls

Management's tone was confident but grounded, leaning into VAS strength and the innovation roadmap. On July MTD and the underlying volume, they framed the slowdown as retail timing and harder comps, noting US switched volume ran ~10% ex the finished card on file debit conversion, ~2ppt better sequentially. On cross border, they flagged renewed US inbound travel, healthier GCC outbound and improved USD availability in Venezuela. On product, Miebach argued cards win in agentic commerce, spotlighting Agent Pay as the only live network offering for machine to machine payments plus verifiable intent built with Google. They also flagged OpenUSD going live later this year alongside a settlement focused stablecoin approach. FX should add ~1ppt for the year, with BVNK closing in 3Q.

Guidance raised to the upper band – Lifting PO to \$735

Mastercard's FY26 update edged toward the higher end of prior guidance, tightening the band rather than stepping it up, a signal of resilience. July softens modestly but much reflects tougher comps and Prime Day timing. On the beat, we raise our PO to \$735 (from \$700), rolling forward our STM EPS on an unchanged 29x multiple. **See back for more takeaways.**

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	14.60	17.00	19.95	23.55	27.63
GAAP EPS	13.88	16.51	19.63	23.55	27.63
EPS Change (YoY)	19.1%	16.4%	17.4%	18.0%	17.3%
Consensus EPS (Bloomberg)			19.65	22.78	26.44
Consensus EPS (Visible Alpha)			20.11	23.34	27.42
DPS	2.64	3.04	3.48	3.72	4.12
Valuation (Dec)					
P/E	39.5x	34.0x	28.9x	24.5x	20.9x
GAAP P/E	41.6x	35.0x	29.4x	24.5x	20.9x
Dividend Yield	0.5%	0.5%	0.6%	0.6%	0.7%
EV / EBITDA*	27.7x	23.2x	19.9x	17.4x	15.4x
Free Cash Flow Yield*	2.8%	3.4%	2.8%	4.3%	4.9%

* For full definitions of *IQmethod*SM measures, see page 6.

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Timestamp: 30 July 2026 05:24PM EDT

30 July 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	700.00	735.00
2026E Rev (m)	36,963.1	37,417.2
2027E Rev (m)	41,643.8	42,544.5
2028E Rev (m)	46,823.2	47,835.7
2026E EPS	19.50	19.95
2027E EPS	22.89	23.55
2028E EPS	26.83	27.63

Matthew C. O'Neill
Research Analyst
BofAS
+1 646 855 1681
matthew.c.oneill@bofa.com

Mihir Bhatia
Research Analyst
BofAS
+1 415 436 3553
mihir.bhatia@bofa.com

Caroline Latta
Research Analyst
BofAS
+1 646 855 0564
caroline.latta@bofa.com

Lawrence Aydtlett
Research Analyst
BofAS
+1 646 855 1829
lawrence.aydtlettjr@bofa.com

Natalie Howe
Research Analyst
BofAS
natalie.howe@bofa.com

Stock Data

Price	577.35 USD
Price Objective	735.00 USD
Date Established	30-Jul-2026
Investment Opinion	B-1-7
52-Week Range	464.52 USD - 601.77 USD
Mkt Val (mn) / Shares Out (mn)	506,357 USD / 877.0
Free Float	91.9%
Average Daily Value (mn)	2060.56 USD
BofA Ticker / Exchange	MA / NYS
Bloomberg / Reuters	MA US / MA.N
ROE (2026E)	280.8%
Net Dbt to Eqty (Dec-2025A)	108.9%

GCC – Gulf Cooperation Council

STM – Second Twelve Months CR

iQprofileSM MasterCard Inc

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	48.7%	51.4%	56.7%	65.1%	73.1%
Return on Equity	200.9%	216.6%	280.8%	438.5%	489.2%
Operating Margin	57.7%	59.2%	59.9%	60.4%	60.5%
Free Cash Flow	14,306	17,160	13,955	21,861	25,063

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.1x	1.1x	0.8x	1.1x	1.2x
Asset Replacement Ratio	0.2x	0.2x	0.2x	0.2x	0.2x
Tax Rate	16.2%	19.6%	20.3%	21.0%	21.0%
Net Debt-to-Equity Ratio	150.9%	108.9%	291.7%	362.1%	340.4%
Interest Cover	25.2x	26.9x	26.4x	28.6x	32.1x

Income Statement Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	28,167	32,791	37,417	42,544	47,836
% Change	12.2%	16.4%	14.1%	13.7%	12.4%
Gross Profit	NA	NA	NA	NA	NA
% Change	NA	NA	NA	NA	NA
EBITDA	18,989	22,642	26,358	30,180	34,002
% Change	11.9%	19.2%	16.4%	14.5%	12.7%
Net Interest & Other Income	(112)	(231)	(398)	(548)	(548)
Net Income (Adjusted)	13,541	15,415	17,530	19,866	22,420
% Change	16.7%	13.8%	13.7%	13.3%	12.9%

Free Cash Flow Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	13,541	15,415	17,530	19,866	22,420
Depreciation & Amortization	2,727	3,241	3,956	4,485	5,074
Change in Working Capital	(1,040)	(1,442)	(7,420)	(2,354)	(2,210)
Deferred Taxation Charge	(527)	57	(56)	(332)	(332)
Other Adjustments, Net	79	378	709	1,036	1,036
Capital Expenditure	(474)	(489)	(764)	(840)	(924)
Free Cash Flow	14,306	17,160	13,955	21,861	25,063
% Change	23.2%	19.9%	-18.7%	56.7%	14.6%
Share / Issue Repurchase	224	203	197	248	248
Cost of Dividends Paid	(2,448)	(2,756)	(3,060)	(3,138)	(3,343)
Change in Debt	(1,336)	(750)	0	0	0

Balance Sheet Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	8,442	10,566	8,360	6,531	5,699
Trade Receivables	3,773	4,609	5,428	6,183	6,962
Other Current Assets	7,509	8,383	10,483	11,609	12,675
Property, Plant & Equipment	2,138	2,303	2,748	3,325	4,006
Other Non-Current Assets	26,219	28,296	29,676	31,493	33,399
Total Assets	48,081	54,157	56,695	59,141	62,742
Short-Term Debt	750	749	0	0	0
Other Current Liabilities	18,500	22,013	24,875	27,738	30,818
Long-Term Debt	17,476	18,251	22,184	22,184	22,184
Other Non-Current Liabilities	4,870	5,398	4,897	4,897	4,897
Total Liabilities	41,596	46,411	51,956	54,819	57,899
Total Equity	6,485	7,746	4,739	4,322	4,843
Total Equity & Liabilities	48,081	54,157	56,695	59,141	62,742

* For full definitions of iQmethodSM measures, see page 6.

Company Sector

Computer Services

Company Description

Mastercard (MA) is a global payments provider that operates one of the largest payment processing networks. MA brands include Mastercard, Maestro, and Cirrus. MA also provides value-enhancing offerings such as loyalty and rewards programs, information services and consulting. According to Nilson estimates, MA is the third-largest global credit and debit network, as measured by volume.

Investment Rationale

We view Mastercard as a strong business with a high margin profile, strong fundamentals, and defensible moat. MA is well positioned to deliver durable top and bottom line growth, supporting a clear and sustained justification for its premium valuation.

Stock Data

Average Daily Volume 3,569,002

Quarterly Earnings Estimates

	2025	2026
Q1	3.73A	4.60A
Q2	4.15A	5.05A
Q3	4.38A	5.15E
Q4	4.76A	5.17E

Takeaways from Calls

Cross Border Health

Underlying cross border stayed healthy despite the moderation to +11% MTD, with management pointing to a genuine recovery in US inbound travel across April, May and June and stronger outbound from the impacted GCC countries into other parts of the world (hard to fully separate from World Cup effects). Added flight and airline capacity is helping, and Venezuela has been supportive as greater USD availability there aided cross border. Intra-Europe was the soft spot (+10% vs. +11% in 2Q), while other cross border actually accelerated to +12% from +11%.

July MTD & Underlying Volume

Metrics through 7/28 point to spending trends broadly consistent with 2Q, with US switched volume ~6% MTD and switched transactions steady at +9%. The cleaner read is on a like for like basis: excluding the now complete card on file debit migration, US switched volume was ~10%, or 2ppt higher sequentially. That migration was basically finished in Q1, and US debit GDV growth would have been ~8% without the drag. Transaction processing assessments rose 12% against 9% switched transaction growth, with the 3ppt delta driven by favorable mix and pricing.

Middle East / Geopolitical Exposure

Management's base case is that consumer spending remains healthy, with the Middle East conflict moderating versus prior expectations. Notably, after 1Q management cautioned that *"we assume the conflict ends in Q2 and the related headwinds will be largest in Q2 then progressively recover as we move through the second half of the year,"* a framework that concerned investors given the potential cross border impact. The FY guide now assumes conflict levels remain similar to those seen toward the end of 2Q, and the improved backdrop, alongside supportive outbound trends from GCC markets, underpins a steadier cross-border outlook.

VAS Growth / Cyber Remains a Key Strength

VAS revenue grew 20% y/y (18% y/y CC), highlighting continued strength in Mastercard's cybersecurity, identity, and fraud offerings. Management emphasized that cybersecurity remains a top priority for CEOs and boards as digitalization and AI adoption accelerate, positioning the company to deepen relationships beyond its traditional fraud solutions. Traction from Recorded Future remains encouraging, with Mastercard Threat Intelligence identifying more than 7 million card testing attacks across 192 countries and helping prevent an estimated \$172M of fraud since its launch, while the company's existing fraud footprint provides a natural pathway to cross sell broader cyber capabilities.

Agentic Commerce & Innovation

Miebach made the case that cards would prevail in agentic commerce, as consumers need predictable, protected user experiences. Verifiable intent, built with Google, lets users challenge a transaction ("I never wanted to buy this") and kick off a chargeback, while Agent Pay is the only network proposal live today to facilitate machine to machine payments. Management framed this as Mastercard leaning into innovation while preserving the trust and protections that differentiate the network.

Stablecoins & OpenUSD

Mastercard's stablecoin approach centers on facilitating settlement and money movement to drive immediacy, transparency and lower cost, with OpenUSD set to go live later this year. Management was measured, noting stablecoins are not the answer to everything given the continued need for protections and cost transparency, and expects a future of many chains and coins rather than a single winner.



Partnerships & Geographic Expansion

Management highlighted an exclusive partnership with AliPay+ and a deal in Mexico, where ~70% of consumer payments are still cash based, underscoring the runway in cash displacement. In the UAE, the recently announced arrangement is more exciting than understood (a misperception that it is a co-badge credit proposition only); Mastercard is working with the central bank to become the switch provider for all domestic debit.

FX, M&A & Other Items

FX is expected to be a tailwind of 0 to 0.5ppt for the quarter and ~1ppt for the full year. BVNK is expected to close in 3Q. Overall, management said it feels very good about the quarter.

Price objective basis & risk

Mastercard Inc (MA)

Our price objective of \$735 is based on a 29x P/E target multiple to our STM (non-GAAP) EPS estimate. Our target multiple is roughly in line with both the 1yr and 5yr average STM P/E multiples that shares of MA have traded at historically. This multiple represents a premium to the S&P 500 NTM P/E multiple of approximately 22x, which we view as justified given Mastercard's growth profile, deep moat, increasing and geographic diversification, execution track record, and large addressable market opportunity.

Downside risks are 1) weak consumer spending in the event of a macroeconomic downturn, 2) increased customer concentration and consolidation, 3) legislative and regulatory changes, 4) potential litigation settlements, which could include monetary damages, and/or result in changes in business practices, 5) loss of customer contracts due to increased competition or new entrants, including local/global payment networks, new start-ups and existing large and small technology companies, and 6) large fluctuations in the value of currencies/foreign exchange rates 7) AI disintermediation, which includes AI agents routing transactions off of the network 8) Real time payment networks gaining share and taking payments off of MA rails 9) Geopolitical instability given MA's exposure to global travel corridors and pressure from higher prices.

Analyst Certification

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US - Payments, Processors, Specialty Finance and IT services Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Affirm Holdings	AFRM	AFRM US	Matthew C. O'Neill
	American Express Company	AXP	AXP US	Mihir Bhatia
	Block Inc	XYZ	XYZ US	Matthew C. O'Neill
	Bread Financial Holdings Inc	BFH	BFH US	Mihir Bhatia
	Capital One Financial	COF	COF US	Mihir Bhatia
	Corpay Inc	CPAY	CPAY US	Mihir Bhatia
	Enact Holdings	ACT	ACT US	Mihir Bhatia



US - Payments, Processors, Specialty Finance and IT services Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Essent Group	ESNT	ESNT US	Mihir Bhatia
	Klarna Group PLC	KLAR	KLAR US	Matthew C. O'Neill
	Mastercard Inc	MA	MA US	Matthew C. O'Neill
	NMI Holdings	NMIH	NMIH US	Mihir Bhatia
	OneMain Holdings, Inc.	OMF	OMF US	Mihir Bhatia
	Radian Group Inc	RDN	RDN US	Mihir Bhatia
	Rocket Companies, Inc.	RKT	RKT US	Mihir Bhatia
	Sallie Mae	SLM	SLM US	Caroline Latta
	Synchrony Financial	SYF	SYF US	Mihir Bhatia
	Visa Inc.	V	V US	Matthew C. O'Neill
	WEX Inc.	WEX	WEX US	Mihir Bhatia
NEUTRAL				
	Upstart	UPST	UPST US	Mihir Bhatia
UNDERPERFORM				
	loanDepot Inc	LDI	LDI US	Mihir Bhatia
	MGIC Investment Corp.	MTG	MTG US	Mihir Bhatia
	Navient	NAVI	NAVI US	Caroline Latta
	SoFi Technologies Inc	SOFI	SOFI US	Mihir Bhatia

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales

Basic EBIT + Depreciation + Amortization

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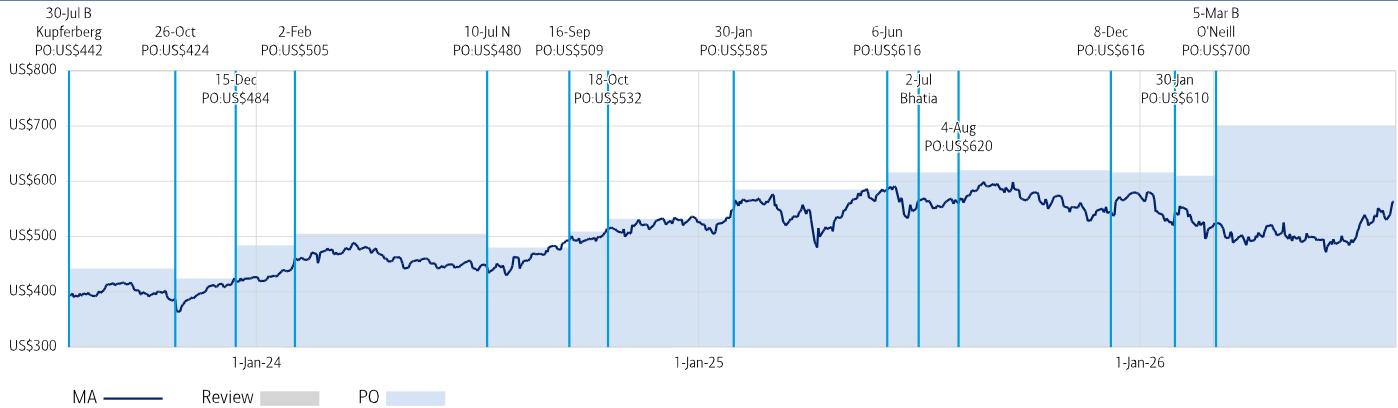
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Mastercard Inc (MA) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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